

Can AI-Powered Arbitration Replace Human Arbitrators? Rethinking the Future of Dispute Resolution in India.

Introduction

Do you know that Artificial Intelligence (AI) is advancing rapidly to integrate in the legal fraternity at present? That day is not far when our judiciary will have robots and advanced technological tools replacing the traditional legal framework. From legal research to drafting petitions, everything will become AI-driven, nearly replacing any potential human intervention for better reliability, clarity and precision. As Artificial Intelligence is evolving from being a supportive tool to a potential decision-maker, a vital question arises: ***Can AI replace human arbitrators in India?*** To get answers for this question, we shall attempt to dig deeper in this blog.

What is AI Based Arbitration or “Robo-Arbitration”?

The purpose of AI based arbitration is to use algorithms and machine learning techniques to conduct arbitration proceedings. This intervention curbs the human involvement in such proceedings in order to speed up the justice system with unprecedented efficiency. This technique is also known as Robo-Arbitration which acts as a decision maker in disputes.

Worldwide, there are many online dispute resolution (ODR) platforms which are offering flexible dispute resolution mechanisms. Platforms like *Smartsettle* use algorithms and machine learning techniques that examine the nature of the claim and provide relevant judgements. A blockchain based platform which is known as *Kleros*, uses smart data analysis to review and make required judgements of a contract between two disputing parties. Countries like China have also emphasized the integration of various AI based tools and systems into its judicial framework ensuring a speedy and timely compliance.

These examples depict that the concept of automated adjudication is no longer a futuristic idea.

Accommodation or Obstruction?

The Arbitration and Conciliation Act, 1996 has been reconsidered after the implementation of the UNCITRAL guidelines, which focused on party autonomy, a fixed procedural system and minimal court interference. Thus, to drive this adjudication system towards the era of AI, there can be several legal and implementational complications.

Under Section 7, a valid arbitration contract allows the disputing parties to approach the arbitration tribunal for settlement before an arbitrator. Now, if an AI agent acts as an arbitrator, can this approach defeat the purpose of the Act? Actually, the law presumes the arbitrator to be a human who has the capacity to reason, understand, and settle the matter in accordance with the provisions of the Act.

However, the principles of natural justice, equity and good conscience compel the sitting arbitrator to act within the scope of human reasoning and analysis. Now, the question arises whether a machine can possess such natural and moral characteristics of a human. The Act itself does not explicitly bar the representation of an AI agent as an arbitrator, but such characteristics and moral ethics can be very subjective to comprehend under the principles of natural law, which emphasize moral and ethical necessities.

Opportunities v. Risks

The potential of AI driven arbitration mechanism is undeniably efficient. Some of the key characteristics are as follows:

1. AI can use data algorithm techniques to review and process documents and evidences much faster than human arbitrators, which can help save time and cost.
2. With the help of AI, we can eliminate the arbitrariness and biasness in the adjudication of the cases which is much more common with the human arbitrators.
3. Automated systems of judicial mechanism can provide quick justice to the needy, bypassing the long running complex judicial procedures which can take years to settle.

However, these advantages come with some risks as well which are as follows:

1. Most of the times, the AI tools use machine learning and their judgements are based on the available data, making it difficult for the parties to evaluate the actual rationale behind it.
2. If the data on which such AI tools are being trained has some irregularities, then the outcome of such adjudications can be futile.
3. Arbitration proceedings contain very sensitive data of both the concerning parties, which can later be misused by the means of data breach, affecting the parties' rights.

Thus, while AI may enhance the efficiency of the arbitration proceedings, it also raises some major concerns about fairness, data privacy and natural justice.

Comparative Legal Research

Throughout the world, there are many jurisdictions who can already integrated the AI tools into dispute resolution mechanism.

1. **China Hangzhou Internet Court:** It uses various AI based tools to assist human judges and lawyers with the facts of the cases in order to help them in the legal proceedings.
2. **European Union's ODR platform:** It has an automated mechanism to settle online consumer disputes but it still relies on the human intervention for the final judgment.

These implementations only aid and assist the judges and lawyers in order to make the judicial process fast, reliable and convenient. It is important to note that these AI based tools and mechanisms do not aim to completely replace human beings but rather help and assist them for better productivity.

India can very well learn from these approaches for the purpose of implementing AI in its legal framework to help and assist human judges and lawyers instead of replacing their job and work.

Critical Opinion & Prediction

In the coming future, AI is unlikely to completely eradicate the human arbitrators. Arbitration is not merely about data analyses or patterns but it is more about contextual understanding about the intent and behavior of the parties. A human arbitrator not only interprets the law and evidence but also acknowledges the intentions, behavior and other abstract characteristics of human psychology which the AI cannot replicate.

However, a dual model is much more convenient and realistic. AI can be used to deal with huge documents while the human arbitrators can focus on delivering a reasoned and fair decision based on the principles of natural justice. Such collaboration can significantly enhance the transparency of the arbitration proceedings. It is also evident that this hybrid model can reduce backlogs and promote consistency throughout legal proceedings.

Conclusion

AI powered arbitration mechanism represents the need of the ever-evolving society which aims to speed up the legal proceedings, cut costs and provide a unique blend of human intelligence and technological benefits. India is all set to level up its traditional arbitration system to a new horizon which will include procedural efficiency, balance and productivity while safeguarding the essence of justice through the human oversight.

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